

Strong start to the year boosts full-year outlook

- **Key changes:** We've increased our 2026 GDP growth forecast for Slovenia by 0.3ppts to 2.2% due to growth in Q1 surprising to the upside, increasing by 0.7% q/q versus the 0.3% we expected. However, we expect growth to moderate in the coming quarters as the delayed impact of the Iran war dents activity. We've revised down our inflation forecast slightly, due to lower oil and gas prices following the US-Iran deal, with the national measure averaging 3% this year. The ECB hiked rates at its June meeting, as we expected. We have removed the July rate hike from our baseline and expect the June one to be reversed in 2027.
- **Short-term forecast:** We expect growth in the coming quarters to weaken amid the volatile external backdrop, which depends on the restoration of tanker traffic through the Strait of Hormuz. Fiscal policy will be mildly supportive, as the government absorbs its remaining pandemic-era recovery funds. Energy prices pulled back in May, but headline inflation remains above the 2% target. We expect inflation to peak at 3.5% later this year.
- **What to watch out for:** The key risks to our forecasts relate to the Middle East conflict and the impact it will have on energy prices, growth, and interest rates. Our baseline assumes a gradual return to normal trade flows following the US-Iran deal. Fiscal policy should be mildly supportive, counteracted by small monetary tightening from the ECB. However, if the impact is more severe than we expect, inflation would peak higher, growth would suffer more, and Slovenia's government and the ECB would likely act more forcefully.

Table 1: Slovenia forecast overview

	(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)					
	2024	2025	2026	2027	2028	2029
GDP	1.7	0.9	2.2	1.7	1.8	1.9
Private consumption	3.5	1.7	2.1	1.9	2.3	2.4
Fixed investment	-0.3	3.9	7.3	1.8	1.9	2.0
Government consumption	7.3	1.6	1.6	0.7	1.2	1.3
Exports of goods and services	2.2	0.1	2.0	2.8	2.4	2.2
Imports of goods and services	4.1	1.7	2.5	1.8	2.5	2.4
Industrial production	-1.1	-1.8	1.3	3.4	3.0	2.7
Government balance (% of GDP)	-0.9	-2.5	-2.2	-2.2	-1.9	-1.4
Gross government debt (% of GDP)	66.5	65.7	64.6	64.2	64.0	63.5
Consumer prices	2.0	2.4	3.0	2.1	2.0	2.0
10yr govt. bond yield (% EOP)	3.1	3.2	3.4	3.5	3.5	3.5
Bank's deposit rate (% EOP)	3.0	2.0	2.3	2.0	2.0	2.0

Source: Oxford Economics

Baseline forecast

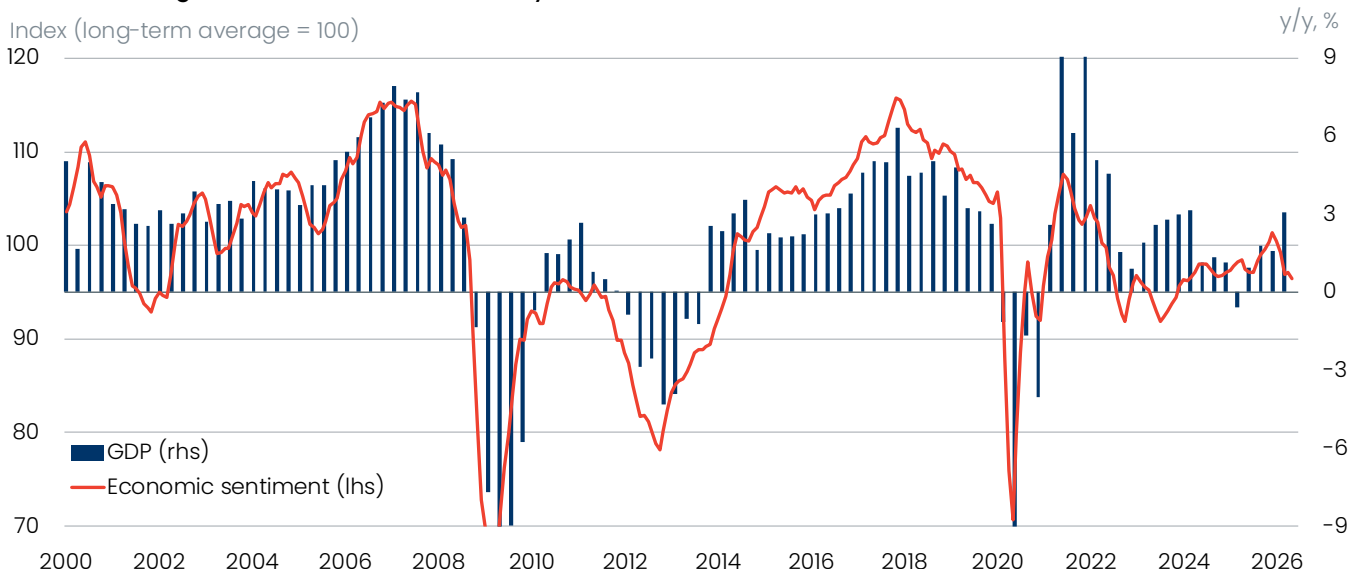
Recent developments

Slovenia's Q1 GDP growth surprised to the upside, increasing by 0.7% q/q, driven by fixed investment and net exports. Private consumption growth moderated to 0.4% q/q from an average of 0.6% in the previous four quarters. Available data for Q2 point to growth moderating as double-digit rises in energy prices weigh on real incomes and activity. Inflation shot up to 3.6% in May, driven by energy prices. We think it will peak at around 4% late this year.

The leading economy-wide indicator lost the positive momentum from late last year, in line with our baseline view ([Chart 1](#)). However, its correlation with hard data has weakened since the pandemic.

Chart 1: Leading indicators point to a loss of momentum

Slovenia: GDP growth and economic tendency



Sources: Oxford Economics, Haver Analytics

Short-term forecast

We've nudged up our GDP growth forecast for 2026 by 0.3ppts to 2.2%, due to the strong growth in Q1. The adverse impact of the Middle East conflict will weigh on household spending and business investment. We expect growth of 1.7% in 2027 – down slightly compared with the previous forecast.

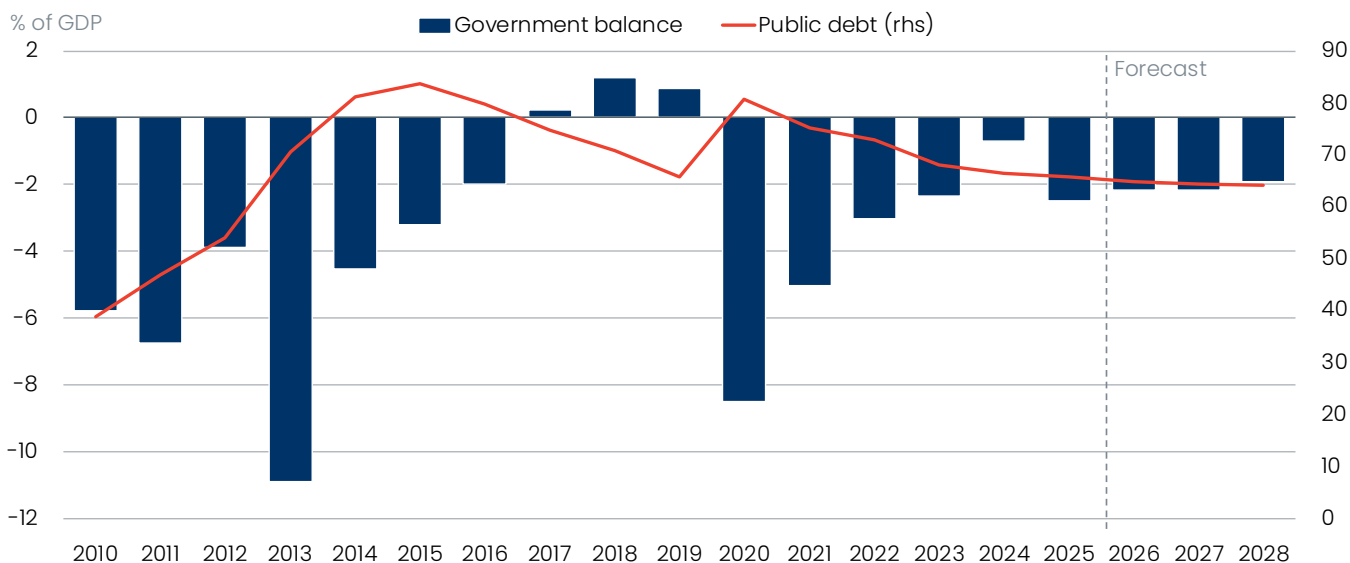
Policy assumptions

Fiscal policy. We expect a slight loosening of fiscal policy amid a pick-up in absorption of pandemic-era EU funds as the year-end deadline approaches. The government introduced fuel rationing (50 litres per vehicle per day) and reduced duties in response to the Iran war and surge in oil prices. However, these measures were temporary. We expect the deficit to shrink slowly and the debt-to-GDP ratio to continue its gentle decline ([Chart 2](#)).

Monetary policy. After hiking in June, as we expected, we now think the ECB will stay on hold, as the US-Iran deal led to significant falls in oil and gas prices. But we expect it to reverse the rate hike in 2027, bringing the deposit rate back to 2% as energy prices normalise and inflation returns to target.

Chart 2: We expect the fiscal deficit to shrink only gradually

Slovenia: Public finances



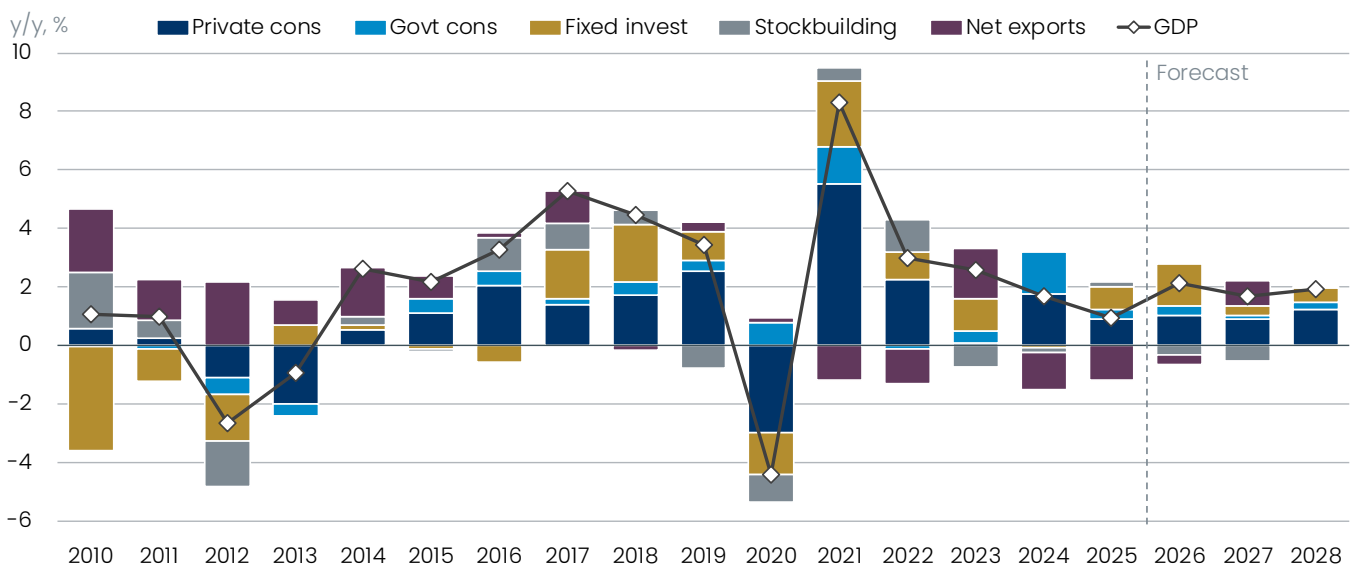
Sources: Oxford Economics, Haver Analytics

Key drivers of short-term forecast

Growth will be driven by domestic demand. We still expect growth to be driven by domestic demand, particularly fixed investment and private consumption, as seen in Q1. The key risks to consumption growth are the extent to which households build precautionary savings and developments in the labour market. We expect an uptick in the savings rate and a slightly slower decline in the elevated unemployment rate than before, but not enough to derail the gradual recovery. Higher US tariffs, increased competition from China and the Middle East conflict dampening growth abroad will weigh on exports (Chart 3).

Chart 3: Domestic demand will be the main growth driver

Slovenia: Contributions to GDP growth



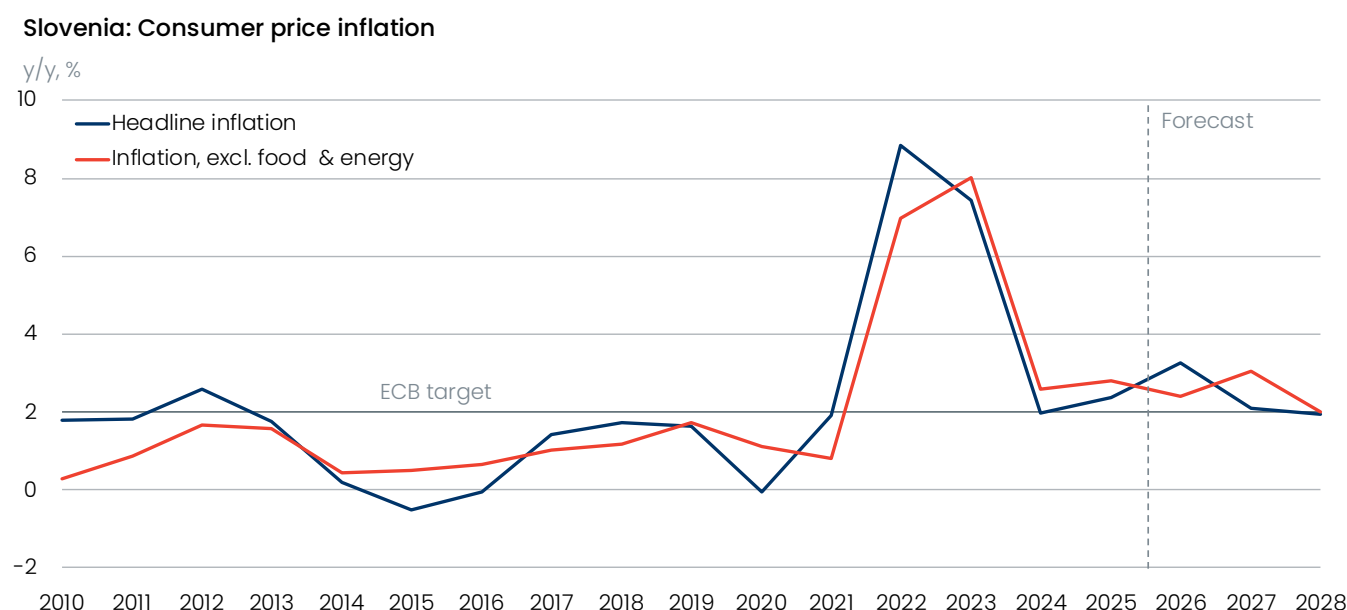
Sources: Oxford Economics, Haver Analytics

The inflationary surge will be smaller than in 2022. We expect the energy price surge due to the Middle East conflict to be much smaller than the shock in 2022. The main channel will be higher prices for transport fuels, with energy prices surging almost 10% m/m in April before moderating slightly in May. Fossil fuels make up less than 20% of Slovenia's electricity generation mix, with the share on a long-term decline.

We've also raised our forecasts for food prices due to higher fertiliser prices and supply chain disruption.

Core inflation is set to rise with a lag, due to second-round effects from higher energy prices. Overall, we expect headline CPI to average 3% this year ([Chart 4](#)). This means the negative hit to household budgets should be relatively contained. However, the outlook is subject to high uncertainty, dependent on when and the extent to which normal trade flows through the Strait of Hormuz resume.

Chart 4: Energy prices are the main driver of higher inflation this year



Sources: Oxford Economics, Haver Analytics

We expect financial conditions to tighten, weighing on growth. Financial conditions have tightened in the wake of the Middle East conflict, with benchmark government bond yields and the interest rates on new mortgages jumping.

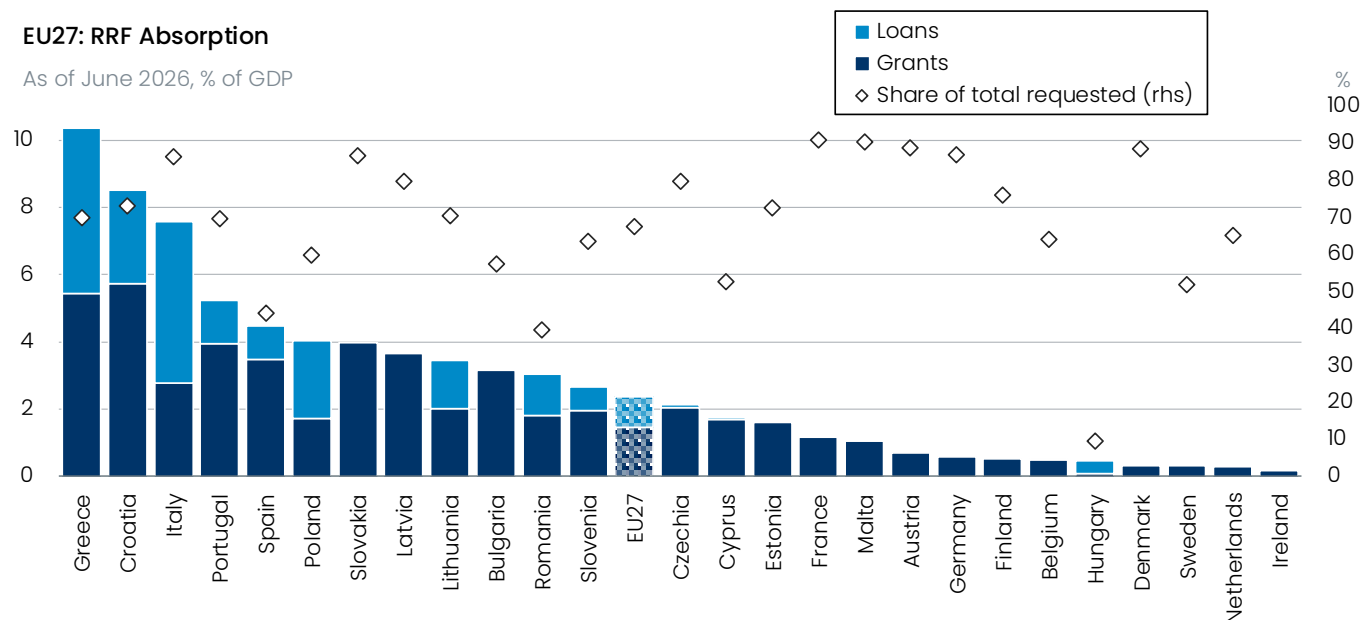
Slovenia's household sector indebtedness is less than 30% of GDP, among the lowest in the Eurozone. Most mortgage interest rates are fixed for long durations, which limits the pass-through of higher rates and the hit to disposable incomes. Corporate debt is higher, at around 75% of GDP, and loans are of shorter duration. This means the tighter financial conditions will affect investment more.

We expect the flow of credit to the private sector to slow, although not enough to derail investment or growth.

The household savings rate will likely remain elevated. The household savings rate is near 15%, more than 4ppts higher than in the decade before the pandemic. This reflects precautionary savings in light of a series of adverse supply-side shocks. We expect the savings rate to remain relatively elevated, as households continue to build more precautionary savings. This, in turn, will weigh on private consumption growth ([Chart 5](#)). Household consumption is set to expand by 2.1% this year and 1.9% in 2027. The key risk is around a more severe consumer response to the Middle East conflict.

The government will accelerate the absorption of EU funds. As of June, Slovenia absorbed just 65% of its allocated pandemic-era EU funds, slightly less than the EU average (Chart 5). This still leaves 1.5% of GDP in funding to be absorbed by the end of this year, which is the deadline. We expect this funding to be largely used up, which should boost near-term growth, particularly investment growth.

Chart 5: Slovenia has below-average absorption of pandemic-era EU funds



Sources: Oxford Economics, European Commission, Eurostat

What to watch out for

Policy surprises. Slovenia's government has been successful in lowering the debt-to-GDP ratio after the pandemic, building some fiscal space. However, the deficit is still over 2% of GDP. Should the energy price shock prove more severe than we expect or growth surprises to the downside, the government may opt for broader measures to shield households at the cost of increasing the deficit and borrowing costs.

Consumers spending or saving real income gains. High inflation and higher mortgage payments have eroded the spending power of households over the past three years. But consumption has also suffered due to the build-up of precautionary savings amid weak confidence and uncertainty. The savings rate remains over 4ppts higher than in the years prior to the pandemic. The extent to which households spend or continue saving their real income gains amid a new adverse external shock will be key for the consumer rebound.

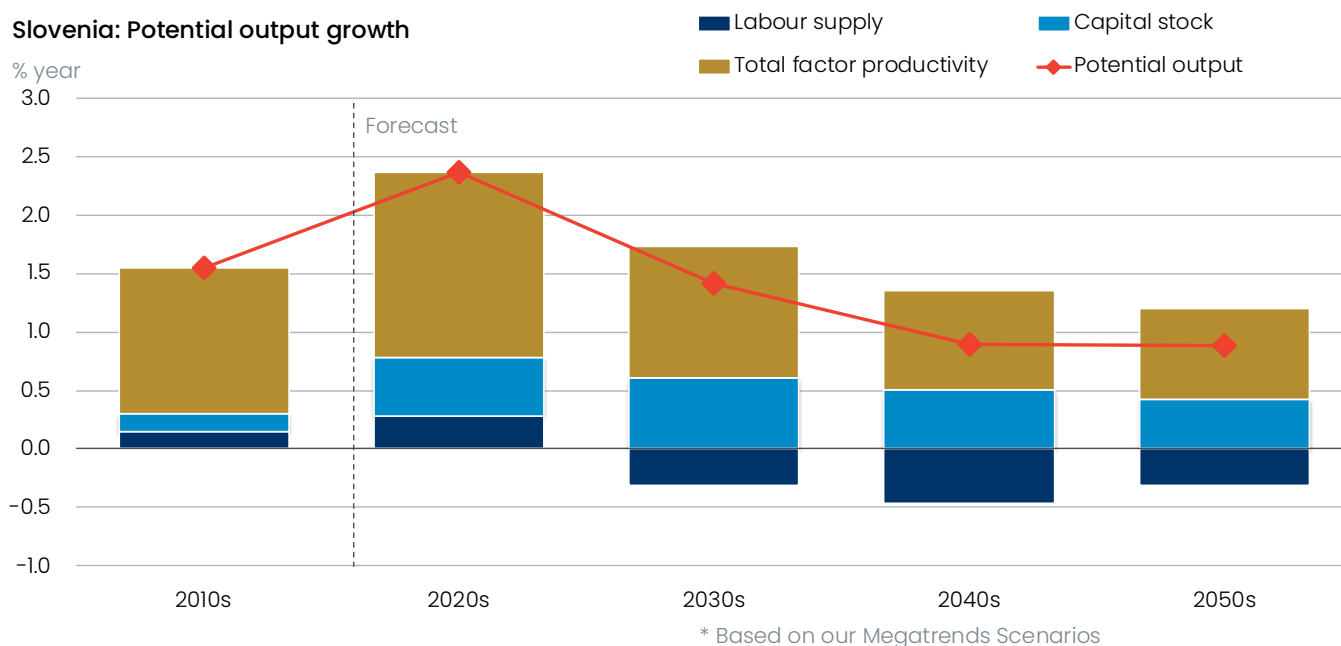
Labour market dynamics. Slovenia's labour market has been remarkably resilient, although the unemployment rate appears to have bottomed out and increased to almost 5% in Q1 this year. We expect a gentle increase, bringing it to its natural equilibrium. We don't expect the Middle East conflict to have a material impact on the labour market, but it's a key risk to watch.

Reforms to boost income convergence. Slovenia has traditionally been among the two wealthiest post-communist countries (together with Czech Republic). However, in recent years, income convergence with Western Europe has stalled with Poland and Lithuania overtaking Slovenia on various measures of per capita incomes. Amid an adverse demographic outlook, reforms to boost labour market participation and productivity will be needed to reinvigorate income convergence.

Long-term prospects

Our forecast for Slovenia's potential output incorporates the latest population and migration estimates and our assumptions about capital deepening and productivity growth. The key change in the forecast is demographics turning from support to a weight on potential growth in the coming decades and a slowdown in productivity growth. We expect potential growth to slow to around 1.5% in the 2030s and 1% in the 2040s from 2% in the 2020s. Boosting participation in the labour market among older cohorts and incentivising productivity-enhancing investments, including in artificial intelligence, are key to lifting Slovenia's growth potential ([Chart 6](#)).

Chart 6: Our baseline forecast shows an increasing reliance on productivity growth



Sources: Oxford Economics, Haver Analytics

The participation rate in Slovenia has risen to 72%, up from 65% a decade ago, and we expect it to stabilise around this level. Changes to the pension and tax system and incentivising staying active in the labour market would be positive for labour supply, helping address labour shortages and boosting incomes.

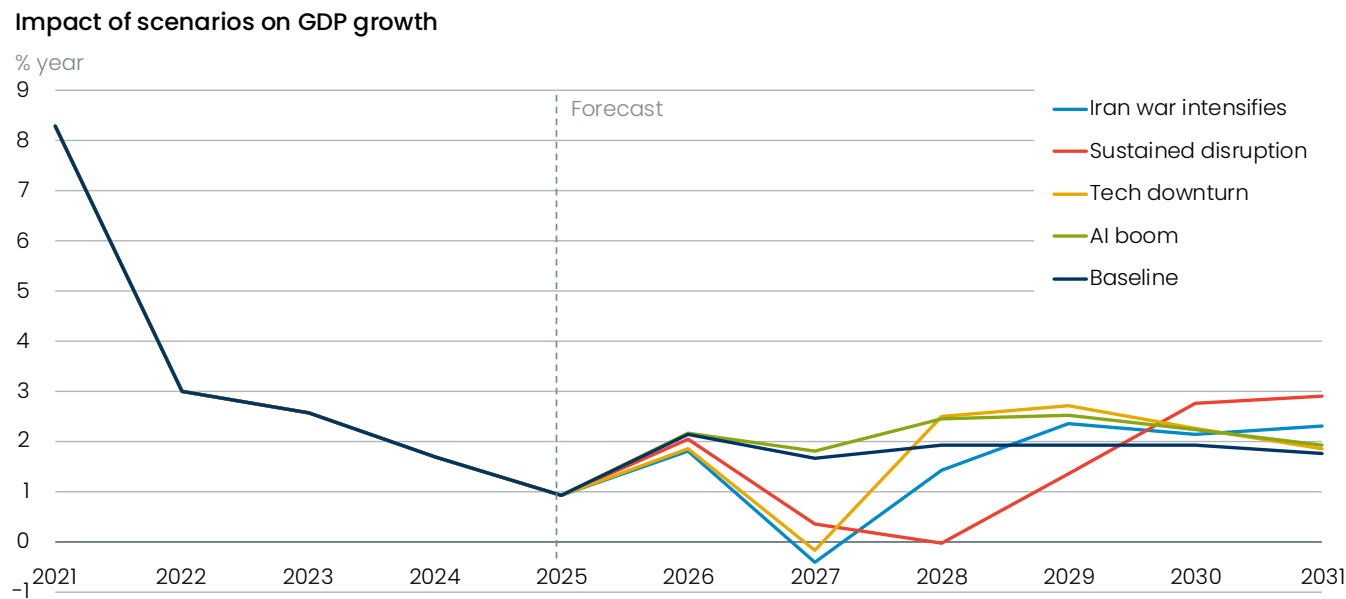
We also expect productivity growth to slow dramatically, as the easy phase of Slovenia's convergence with the West is over. In general, productivity growth in Europe has been weak recently. Artificial intelligence presents a large opportunity, although based on the available data, the take-up has been relatively slow.

Scenarios

Exposure to key global risks

Tech downturn. In this scenario, the AI boom turns to bust, with global growth slowing sharply under the weight of falls in stock prices and investment. US tech stocks fall by 25% in the first year and US growth grinds to a halt. Average growth in Slovenia would be on average 0.5ppts lower than our baseline forecast over the next three years, reflecting its highly trade-sensitive economy ([Chart 7](#)).

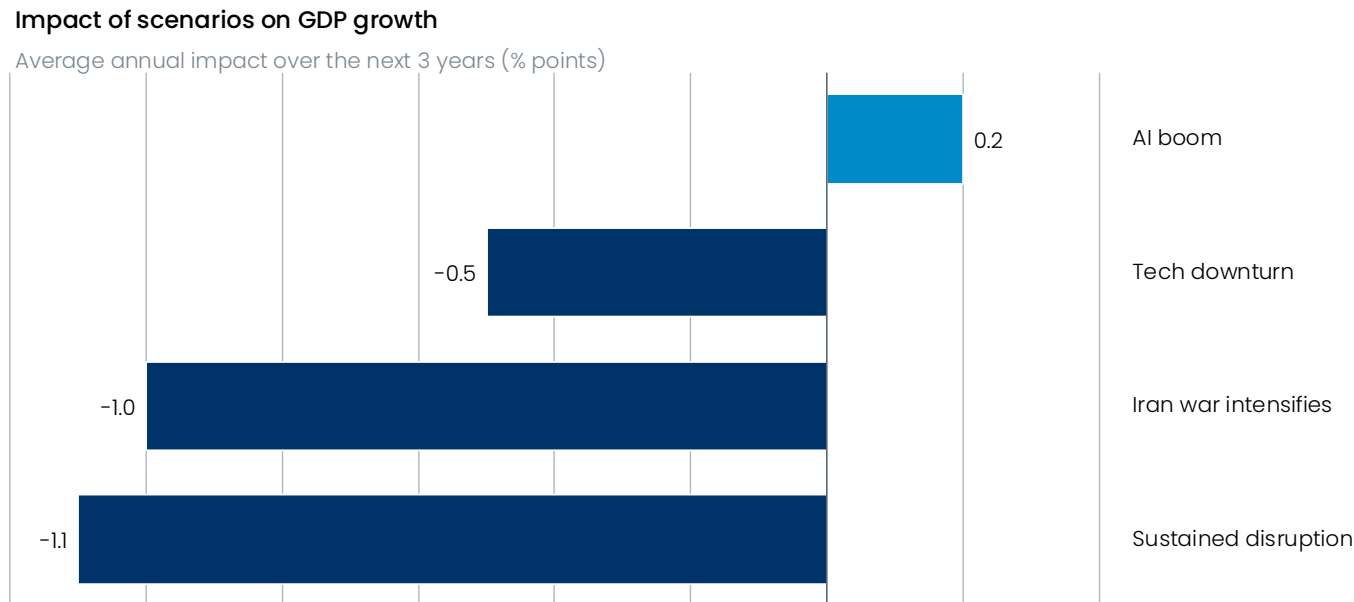
Chart 7: A trade war and prolonged Iran war are key near-term risks



Source: Oxford Economics

AI boom. In this upside scenario, the global economy is bolstered by buoyant US tech investment and stock prices, at the same time as rapid AI adoption fuels gains in productivity. Digital technology investment rises by a further 15% in 2026 alone. Slovenia's growth would be 0.2ppts per year above our baseline forecast over the next three years, given its traditionally sizeable exposure to world trade ([Chart 8](#)).

Chart 8: Risks are skewed to the downside



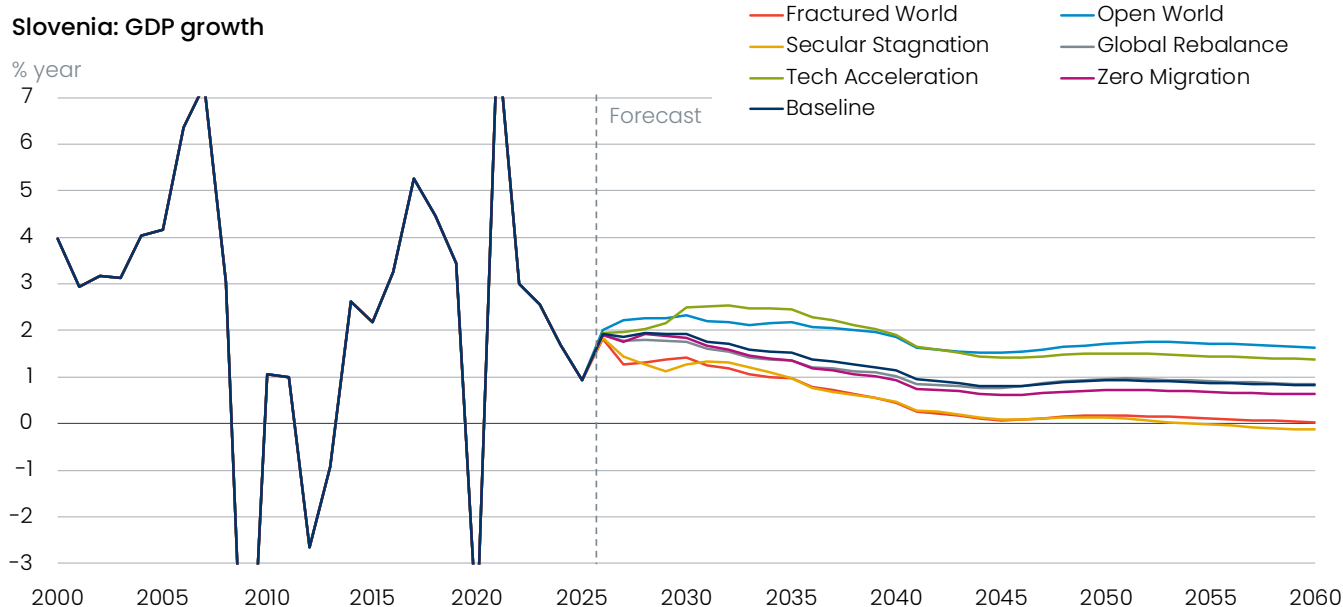
Source: Oxford Economics

Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Tech acceleration. In this scenario, the successful deployment of new technologies, including AI, lifts economic growth through higher productivity and faster innovation. Countries at the technological frontier, which include Slovenia due to its high levels of human and physical capital, benefit first. Productivity growth would be stronger, domestic inflationary pressures would be weaker, and governments would benefit from fiscal dividends, stabilising debt-to-GDP ratios thanks to higher tax receipts and lower welfare transfers. GDP growth would be 0.7ppts a year higher than in our baseline forecast over 2030–2050.

Chart 9: Globalisation and technological progress are the main scenario drivers



Sources: Oxford Economics, Haver Analytics

Zero migration. In this scenario, future migration flows are excluded from our baseline to isolate the contribution of migration to growth, incomes, fiscal stability, and inflation in both destination and origin economies. We assume no policy response from governments in this scenario. GDP growth suffers due to a smaller labour force and lower positive spillovers into productivity growth. Labour markets tighten in the near term, pushing unemployment below the baseline. But over the long term, weaker productivity and lower employment present drags. In this scenario, Slovenia's GDP grows by 0.2ppts a year less than in the baseline forecast.

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1= BEST)
Overall	3.1	0.3	13
Market demand	2.0	0.0	2
Market cost	3.0	0.0	13
Exchange rate	3.3	1.5	46
Sovereign credit	3.1	0.1	20
Trade credit	4.0	0.0	15

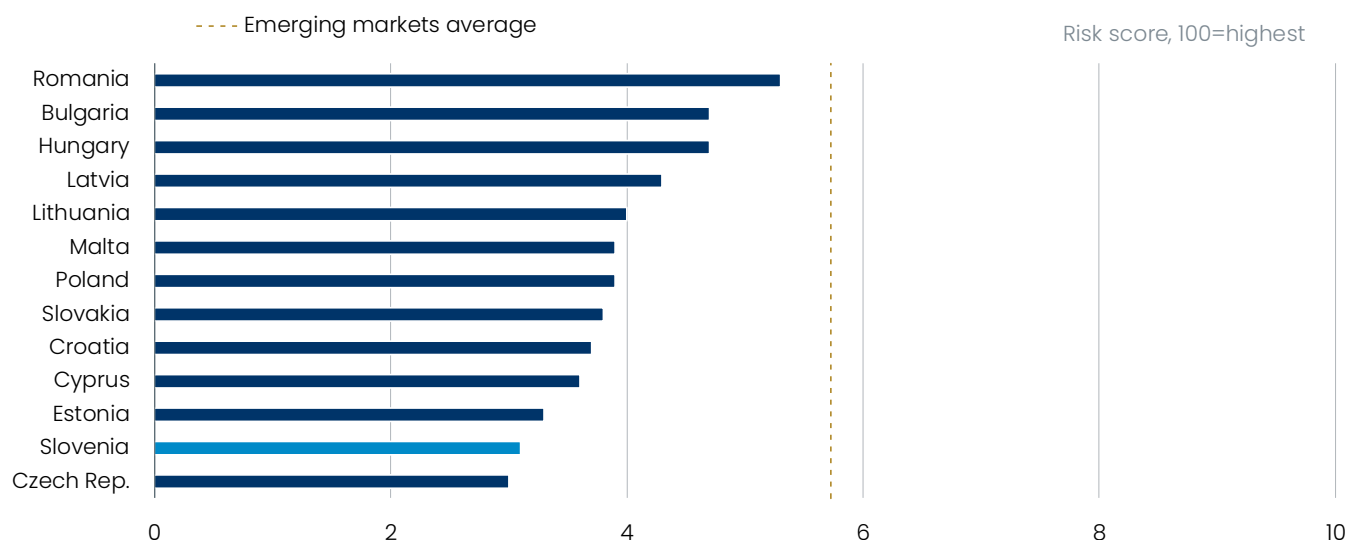
Source: Oxford Economics

Overall risk for Slovenia: 3.1/10*

Slovenia's overall economic risk score of 3.1 is low, ranking it 13th out of the 164 countries in our survey. The risk score is marginally higher than six months ago and the advanced economies average ([Chart 10](#)).

Chart 10: Slovenia's risk score is among the best in emerging Europe

Economic risk: Slovenia vs Emerging markets average



Source: Oxford Economics

The economy performed well in the run-up to the pandemic and experienced a strong rebound after. We expect the economy to maintain a healthy growth rate this year, despite another energy price shock.

Slovenia recovered well from the large GDP contraction in 2020 due to the coronavirus crisis. We expect only minimal scarring from this. The recent high inflation episode dented growth, but Slovenia continued to be among the fastest-growing EU economies. In the longer term, we think the composition of growth will evolve as net trade becomes a less prominent driver while domestic demand gains significance, consistent with income convergence and an ageing society.

Market demand: 2.0/10

The demand risk score remains low at 2.0, well below the emerging markets and Eastern European averages.

Domestic demand took a hit in 2020 as Covid-containment measures and uncertainty constrained consumer and capital spending. However, activity quickly rebounded post-lockdown alongside the reopening of the economy. Market demand risks are tilted to the downside as new risks arise related to the energy price shock. We expect the ECB to tighten policy, which will increase funding costs.

Slovenia's demand prospects are still solid, with the economy set to grow faster than the Eurozone average over the medium term, supporting convergence. The continued strength of domestic demand depends on structural reforms, including privatisation efforts to drive productivity improvements, and on boosting the low activity rate of older workers through pension reform to expand the labour pool.

Market cost: 3.0/10

The market cost risk score of 3.0 reflects Slovenia's competitiveness and improvements in unit labour costs. Inflation was 1.6% in 2019 before the large shock to demand in 2020 pushed the economy into negative inflation, with declines in transport costs being the main factor behind a 0.1% fall in prices. Energy and goods prices led the disinflation in 2025, but food prices surged, driving up the headline rate. We expect inflation to increase to over 3% in 2026 due to energy prices, but fall back to below 2% in 2027.

Exchange rate: 3.3/10

Under our methodology, the foreign exchange risk score is 3.3, marginally higher than six months ago and in line with that of the Eurozone.

The euro surged to \$1.20 in early 2026 as US tariff uncertainty and a partial shift away from US assets drove dollar weakness, but has since pulled back to around \$1.15 as those initial drivers have gradually faded and risk-off episodes due to the conflict in the Middle East have favoured the US dollar. Resilient US economic data has tempered expectations of Fed easing, while the Iran war poses a structural headwind for the euro: Europe's greater energy import dependence makes it more exposed than the US to sustained oil price rises. ECB rate hikes offer some near-term support, but the associated tightening in financial conditions also weighs on the growth outlook. We forecast EUR/USD at \$1.17 at end-2026 and \$1.18 at end-2027, as fading structural headwinds provide modest longer-term support.

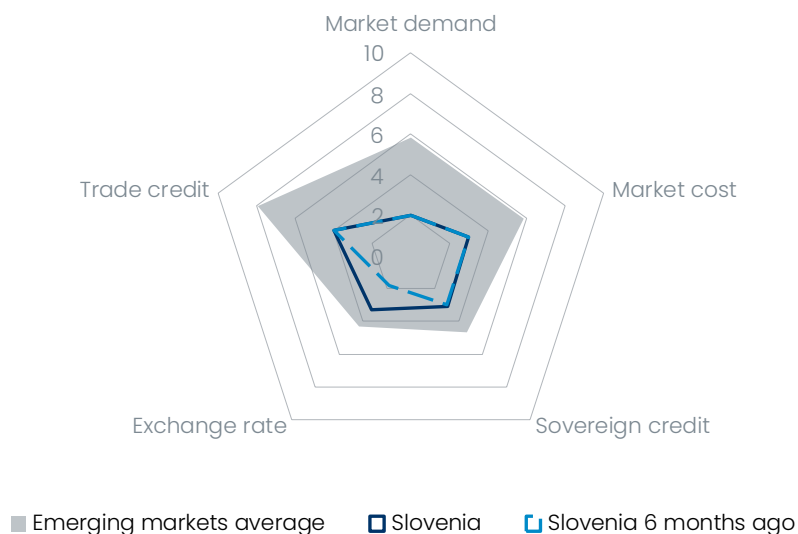
Sovereign credit: 3.1/10

The sovereign credit risk score of 3.1 is slightly higher than six months ago. Slovenia's membership of the EU underpins its political stability and institutional strengths, leading to stronger governance than that of its peers.

In 2017, Slovenia ran its first budget surplus since independence and achieved another one equal to 0.5% of GDP in 2019. But the fiscal response to the coronavirus crisis pushed Slovenia into a fiscal deficit of almost 8% of GDP in 2020. In turn, the public debt-to-GDP ratio rose from 65% to around 81% in 2020. As the economy recovers, public debt could shift onto a downward trajectory, driven by high nominal growth rates. However, the debt-reduction process will slow as nominal growth decelerates, debt servicing costs increase, and spending pressures intensify. Lowering the relatively high public debt would leave Slovenia well-placed to address the challenge of ageing residents and a shrinking working-age population over the longer term.

Chart 11: Slovenia scores comparatively well across all metrics

Economic risk: Slovenia vs Emerging markets average



Sources: Oxford Economics, Haver Analytics

Trade credit: 4.0/10

The trade credit risk score – which measures the risk that companies will fail to make payments for goods and services received – is at 4.0. This ranks Slovenia as the 15th-least risky of the 164 countries in our survey. As part of the single currency zone, Slovenia generally faces low currency risks, while non-financial firms' liabilities are broadly in line with the Eurozone average.

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. [Find out more](#).